

ORIGINAL

(S E R V E D)
(June 5, 2000)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

June 5, 2000

DOCKET NO. 00-04

AL KOGAN d/b/a GALAWAY INTERNATIONAL

v.

**WORLD EXPRESS SHIPPING, TRANSPORTATION AND
FORWARDING SERVICES, INC. d/b/a W.E.S.T.
FORWARDING SERVICES (FMC LIC. #3118-R)**

**RULINGS MADE AT SPECIAL CONFERENCE
DEALING-WITH DISCOVERY AND OTHER MATTERS**

A conference was held by telephone on June 2, 2000, at which counsel for both parties attended. The main purpose of the conference was to resolve a disagreement among counsel as to the proper location of depositions to be taken. However, other matters were mentioned briefly, such as the possibility of having a Commission mediator seek a solution to the dispute or by using some other means of alternative dispute resolution (ADR) The parties did not agree to mediation or other

ADR technique at least at this stage of the proceeding but wished to develop facts and present evidence in support of their respective positions by means of depositions. At the conclusion of the deposition phase a further conference will be held to discuss the future course of the proceeding, including the possibility of deciding the case by means of summary judgment assuming that there are no genuine issues of material fact that would preclude summary judgment or that the nature of the issues is such that a trial would not be necessary.

The Commission's rules require the parties to propose a discovery schedule and to complete discovery within 120 days after service of the complaint. See 46 C.F.R. 502.201(d); 502.201(c). Like most of the Commission's rules of procedure, these rules can be waived to prevent undue hardship, manifest injustice, or if the expeditious conduct of business so requires. See 46 C.F.R. 502.10. The parties believe that they must take several depositions to flesh out their allegations and should defer consideration of mediation or termination of litigation by other means until they have finished discovery. I agree and in the interest of assisting the parties in completing discovery efficiently and in the reasonably near future issued the following rulings:

1. The main obstacle to commencing the taking of depositions is the disagreement as to where the depositions should take place. Counsel for complainant argued in favor of Chicago,

¹Normally discovery would have had to be completed by June 29, 2000, 120 days after service of the original complaint. However, a counter-complaint was also served on April 13, 2000, and because of a disagreement on where the depositions are to be taken some delay has occurred. In any event it is important that depositions be taken so that the parties can evaluate their claims and defenses and consider settlement or ADR or whether motions for summary judgment would be appropriate to resolve some or all of the outstanding issues. I note that the Seventh Circuit encourages use of summary judgment in appropriate cases. See *Kirk v. The Home Indemnity Co.*, 431 F.2d 554 (7th Cir. 1970); *Mintz v. Mater Fund, Inc.*, 463 F.2d 495 (7th Cir. 1972); *Steptoe v. Beverly Area Planning Ass'n*, 674 F. Supp. 1313 (N.D. Ill. 1987); *Ford Motor Credit Company v. Devalk Lincoln-Mercury Inc.*, 600 F. Supp. 1547 (1985). For a detailed discussion of the value of the summary judgment procedure in Commission proceedings, see *McKenna Trucking Co., Inc. v. A.P. Moller-Maersk Line*, 27 S.R.R. 1045 (ALJ 97). These cases cite the three 1986 Supreme Court decisions enlarging the use of summary-judgment procedures in court cases (*Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242; *Celotex Corp. v. Catrett*, 477 U.S. 317, and *Matsushita Electric Industrial Co., Ltd. v. Zenith Radio Corp.*, 475 U.S. 574 (1986)).

Illinois, whereas counsel for respondent contended that they should take place in Washington, D C. Complainant's counsel argued that all the deponents work in the Chicago area, that complainant Mr Kogan is not in the best of health, that complainant's counsel has an office only in Chicago, and that complainant had no choice but to file his complaint with the Commission which is the only tribunal with exclusive jurisdiction over Shipping Act matters. Respondent's counsel, on the other hand, argued that, as respondent, it did not select the forum, that complainant who did, should be required to appear for deposition in the forum selected, that relevant documents have been transferred to the Baltimore-Washington area, and that respondent's witnesses would be willingly brought to Washington, D C by respondent.

I noted the apparently physical limitations affecting complainant, Mr Al Kogan, the fact that he had little choice but to invoke the Commission's jurisdiction in a Shipping Act case, that respondent's witnesses all work in the Chicago area, that only counsel for respondent worked outside the Chicago area, and that if my orders needed to be enforced, the U S District Court in Chicago would have to be involved. See section 14(c), Shipping Act of 1984. I recognized the general rule that defendant deponents ought to be deposed at their place of work absent unusual circumstances, that complainant's selection of the Commission as the forum to decide his dispute was not entirely a matter of discretion, and that I could see no valid reason in terms of costs, convenience, or litigation efficiencies that would justify flying all deponents to Washington, D C where they neither resided nor worked. Accordingly, I ruled that all depositions would take place in Chicago, Illinois where, incidentally, respondent's counsel has an office. This ruling is further supported by the fact that counsel for complainant indicated that he might be taking depositions of expert witnesses also from the Chicago area.

The next ruling concerned the need to facilitate taking depositions by avoiding needless technical problems under the federal and Commission rules. The problem concerns the fact that under the federal rules non-party witnesses must be subpoenaed if they do not appear voluntarily as do employees of parties whereas officers, managing agents or directors of corporate parties may be ordered to be deposed without the need for a subpoena. See 9A Wright and Miller, *Federal Practice and Procedure*, secs. 2107, 2460; 2463 at 68, see also *Contardo v. Merrill Lynch, Pierce, Fenner & Smith*, 119 F.R.D. 622 (D. Mass. 1988) (an ordinary employee of a corporate defendant may need to be subpoenaed but may not be required to produce corporate documents merely by a subpoena duces tecum)

The Commission follows the federal rules of civil procedure “to the extent they are consistent with sound administrative practices.” See 46 C.F.R. 502.12. Under the modern federal rules, an attorney, who is an officer of the court, may sign and have served a subpoena but must exercise care in so doing. See Federal Rules 45(a), 45(c), 45(d), F.R.C.P. In the event that it becomes necessary for any party to issue a subpoena to a non-party or to an ordinary employee of a party, I rule that the subpoena signed by an attorney in connection with the instant Commission proceeding shall be deemed to be signed and issued by the undersigned judge, as is the practice under the federal rules. This will avoid the need for an attorney in Chicago or Baltimore to obtain blank F.M.C. subpoena forms for me to sign before having them served. Of course, the parties are still required to serve notices of depositions pursuant to 46 C.F.R. 502.203.

I ruled finally that counsel shall prepare a discovery schedule, identifying the proposed deponents for depositions in Chicago at convenient times and places, and indicate whether they anticipated issuing and serving subpoenas or whether the deponents might be filing motions to quash

or for protective orders. Their proposed schedule shall be submitted to me within 10 days of the date of service of these rulings.

Norman D. Kline

Norman D. Kline
Administrative Law Judge